

Clarification in respect of effect of Goods & Services Act, 2017 on works contracts and demands raised by the Contractors' Association regarding the process and condition of the contracts.

Government of Maharashtra

Public Works Department

Govt. Circular No. Sankirna-2017/C.R.121(Part-II)/Building-2

Hutatma Rajguru Chowk, Madam Kama Road,

Mantralaya, Mumbai- 400 032

Date- 19th September, 2017

Read:

- 1) Government of Maharashtra Circular (Finance Department): GST-1017/ C.R.81/ Karadhan-1, dated- 19th August, 2017
- 2) Government of Maharashtra (PWD): Letter No-Sankirna-2017/C.R.121 (II)/ Bld-2, dated- 4th September, 2017
- 3) Government of Maharashtra (PWD): Letter No-Baithak -2017/C.R.326/Roads-1, dated- 8th September, 2017
- 4) Government of Maharashtra Circular (Finance Department): GST-1017/C.R.155/Karadhan-1, dated- 11th September, 2017

Preamble:

Government of Maharashtra vide their notification of the Finance Department has made the GST applicable w.e.f. 1st July, 2017. The contractors all over the State have been raising queries about implementation of the Goods & Services Tax with respect to the ongoing and new contracts. Upon careful consideration and detailed study of the matter, the Government in PWD has clarified the queries vide letters dated 04/09/2017 and 08/09/2017. A combined Circular of the clarifications is issued as under for the benefit of the field officers.

Circular:

1. Clarification about GST:

1.1 The Finance Department has issued Circular regarding implementation of GST in respect of ongoing works and works under tendering process vide their circular No. GST/1017/ Pra. Kra. 81/Karadhan1, Dated 19/08/2017 and GST/1017/Pra. Kra. 155/Karadhan1, 11/09/2017.

It is clarified herewith that, extra burden of GST if any, shall be compensated by PWD upon production of authenticated records of net extra burden on account of GST (after deducting VAT and / OR Excise as in earlier contracts). The Claims to this effect shall be submitted by the contractors to the concerned Executive Engineer. The Executive Engineer will scrutinize and reimburse the claims within 30 days of receipt of such claims.

1.2 As directed by the Finance Department vide circular dated 11/09/2017, the offers received from the contractors in various tenders from 1st July, 2017 till date shall be evaluated and accepted by competent authority considering the effect of GST.

1.3 If the tenders are below or at par with estimated cost and the contractors give affidavit that they will not claim anything extra on account of GST, such tenders shall be accepted. Rest of the tenders shall be rejected and recalled immediately.

2. SSR/ Preparation of Estimates/ Calling of Tenders for new works/ Deduction of GST at source.

2.1 State Schedule of Rates:

CE Mumbai will be the Convenor of the State Schedule of Rates (SSR) Committee. All CEs and all zonal SEs will be members of the committee. Most of the meetings and exchanges should be done over VC and e-mails. A Chartered Accountant shall also be included as member of the committee. One member from Builder Association of India and one member from Contractors' Association in rotation from all regions shall be members of SSR Committee. The SSR Committee will prepare the SSR and get approval of the Government latest by 30th April every year. The SSR will be effective from 1st June every year. The corrections in SSR as pointed out by CEs shall be considered by the SSR Committee.

2.2 **Preparation of Estimates:**

The rates of various items in the SSR shall be exclusive of GST. While preparing estimate for the works, GST shall be added as per the prevailing rates, in the recapitulation sheet of the estimate prepared based on the SSR.

2.3 **The tenders for new works:**

The tender shall be called based on the rates without GST. GST shall be payable on the accepted contract value.

2.4 The detailed instructions about GST deduction at source will be issued separately.

3. **Clarifications about tender procedure:**

3.1 **Acceptance of Tenders:**

3.1.1 The guidelines for acceptance of single tender were issued vide GR dated 12/04/2017. Now revised guidelines for the acceptance of a single tender are as below:

The condition of receipt of minimum 3 technically qualified bids in the first call cannot be relaxed as it is as per requirements of CVC. However, for works of emergency and urgent nature, if 2 technically qualified bids are received in the first call, then the same can be processed with the permission of the Chief Engineer. The Chief Engineer while permitting the opening of 2 bids shall keep the reasons in writing on record. If only single bid is received in the first call then it shall be outrightly rejected & second call shall be made with short tender notice of 8 working days. **The publicity of such urgent works shall be made directly to the concerned papers as allowed by DGIPR at the time of 1st call.**

3.1.1 If only single technically qualified bid is received again on second call, the tender shall be processed as per usual procedure. There is no need to recall the tender in such cases.

3.2 Extension of Time Limit:

In case of non-availability of land or any other valid reasons, the time limit extension shall be granted by the authority competent to accept the tender. In case the tender is accepted at Government level, the Chief Engineer shall be final authority for grant of extension of time limit (under intimation to Government). The reasons for granting the extension shall invariably be kept on record.

3.3 Submission of hard copy:

Submission of hard copy is a requirement based on CVC guidelines & hence cannot be done away with. However, hard copies shall be opened only if there are problems in opening/ downloading of tender offers. If the contractor inadvertently or otherwise does not submit hard copy, then it shall not constitute a bar to open his e-offer. His online tender shall be opened by the tender opening authority and shall be processed. If the contractor's offer is lowest then it shall be accepted and his downloaded tender shall be treated as hard copy.

3.4 Clubbing of works

The work shall be clubbed together if they are in one continuous length of the road. However, no clubbing shall be resorted to if the works are distinctly apart from each other and are not on the same road. For achieving good quality in execution, the minimum road length shall be 10 Km and in case of building maintenance single estimate shall be prepared for one entire building.

3.5 Classes of Registration:

All classes of registration upto Rs.1.5 Crores shall remain valid as before. Necessary correction has been made in the online registration system.

4 Clarifications about tender conditions:

4.1 The Earnest Money deposit for works shall be

- (i) for works costing upto 1.5 Cr. EMD = 1 %
- (ii) for works costing above 1.5 Cr. EMD = 0.5 % of amount due to tender or Rs.1.50 Lakhs whichever is more

4.2 Security Deposit : Henceforth, for all works the Security Deposit shall be 2 % of amount put to tender rounded to next Rs.1000.

4.3 Additional performance security:

4.3.1 Additional performance security is permitted to be accepted in the form of DD/ FDR/ BG of any Nationalized/ Scheduled Bank. This shall be enclosed in the financial envelope (envelope no.2). A self attested affidavit that 'Additional Performance Security is enclosed in envelope No.2' shall be included in the Technical Envelope No.1. If the Additional Performance Security is not found included in envelope No.2 (financial envelope) (in cases which are found below 1 % of amount put to tender) the offer shall be treated as invalid and rejected forthwith.

4.3.1 Additional Performance Security of the successful bidder shall be returned immediately upon satisfactory completion of work; the certificate of which shall be issued by the EE before releasing the additional security.

4.3.2 Additional Performance Security for tenders below estimated costs shall be released on the day of opening of the financial bid except for L-1 and L-2. The Additional Performance Security of L-2 shall be released within time limit of 30 subsequent working days or award of work to L-1, whichever is later.

4.4 Regarding use of machinery:

4.4.1 The life of new machinery will be considered as 15 years.

4.4.2 There will no need of fitness certificate from SE (Mechanical) for first 6 years.

4.4.3 After 6th year, the machinery shall be checked and certified for its fitness by SE Mechanical/ACE (Mechanical) every 3rd year till the 15th year.

4.4.4 After the 15th year, the contractor will get machinery certified every year from SE/ ACE (Mechanical) and produce the certificate of

fitness. The certificate will be required for machinery where it is necessary and not issued by RTO.

5 Price variation:

The price variation clause in SBD is deleted. However, star rates shall be provided for in the SBD for bitumen, cement and steel. The difference between purchase price of contractor and the star rate shall be recoverable from the contractors or payable to the contractors.

6 Variation in Quantities:

The Clause 38 regarding variation in quantities is deleted from SBD.

Excess quantity shall be executed only after prior permission of the authority granting Administrative Approval to the work. It shall be paid at tender rate only. The CE/ SE/ EEs are directed to prepare the AA estimates based on geological investigations/ RCC designs. No change in quantity of foundations and RCC shall be permitted as the department has faced tremendous criticism due to avoidable excesses in quantities. Also the Administrative Approval will stand automatically revised if Technical Sanction is for a lesser value.

7 Tender Fees:

7.1 As the tenders are published online, the reduced tender fees shall be as follows.

Sr. No.	Cost of work put to tender	Tender purchase and process fees
1	Upto 3 lakh	Rs. 200 + GST
2	3 to 50 lakh	Rs. 500 + GST
3	50 lakh to 200 lakh	Rs. 1000 + GST
4	2 Cr to 5 Crs	Rs. 2000 + GST
5	5 Crs to 10 Crs	Rs. 3000 + GST
6	10 Crs to 50 Crs	Rs. 5000 + GST
7	More than 50 Crs	Rs. 10000+GST

7.2 If it is clarified by the local GST authority that GST is not applicable to tender purchase fee, then GST shall not be levied. The clarification shall be kept on record by the Executive Engineer/ Superintending Engineer/ Chief Engineer.

8 Duration of contracts:

The duration of contracts shall be decided based on the nature of work.

9 SSR for 2017-18:

The rates in the State Schedule of Rates are being verified with respect to GST Act being applicable w.e.f.01/07/2017 once again and new State Schedule of Rates shall be published. For items involving use of material like sand, aggregates, bricks etc, the rates may vary district wise. The variation in rates shall be approved for the district by the concerned Superintending Engineer and shall be adopted for that district after recording the reasons in writing (under intimation to the Government). SSR and District Rates of all items shall be published on the Government website.

10 Miscellaneous:

10.1 Turnover for bid capacity:

Highest turnover during the last 5 years shall be considered for calculating the bid capacity. The conditions of turnover in last 5 years has the word 'Minimum' in SBD, it shall be replaced by the word 'Maximum'.

10.2 Similar type of works:

The condition in SBD about similar type of works shall be modified by the Chief Engineer to the limit of 30 % of quantity (Minimum).

10.3 The balance sheets audited by the Chartered Accounts shall be considered and accepted.

10.4 Pre-registered consortiums registered in Stamp office will be accepted as joint ventures.

10.5 For the works of Unemployed Engineers, conditions related to ownership of hot mix plants/ batch mix plants/ machineries shall not be mandatory. A self attested hire agreement shall be sufficient. If the self attested hire agreement

is found false/ erroneous, stringent action shall be initiated by the Chief Engineer.

- 10.6 If the rates received in response to tenders received at district level tenders are above the estimated cost, then Government in PWD will consider the proposal to enhance the powers of acceptance of tenders of EE/ SE/ CE. All Chief Engineers are instructed to compile & submit data of offers and percentage above in the offers due to the effect of GST.
- 10.7 The Security Deposit of contractor shall be released online immediately after the completion of the Defect Liability period irrespective of the demand for its release.
- 10.8 For works upto Rs.1.50 Crores, the condition of ownership of hot mix plant / paver shall not be made mandatory. A self attested hire agreement shall be sufficient. If the self attested hire agreement is found false or erroneous, stringent action shall be initiated by the Chief Engineer.
- 10.9 The Chief Engineer shall review the conditions of the AMC and modify conditions, if any, with respect to accident liability in the contract.
- 10.10 The percentage ratio of 33:33:34 unit Labour Co-operative Societies, Unemployed Engineer Contractor and other contractors stands unchanged. All the previous facilities for Labour co-operative Societies and Unemployed Engineers Contractor also stand unchanged.

This Government Circular of Maharashtra Government is available at the website www.maharashtra.gov.in. Reference no. for this is 201709191210142918. This order has been signed digitally.

By order and in the name of the Governor of Maharashtra.

(Sachin Chivate)
Under Secretary, PWD

To,

1. A.C.S. to Hon'ble Chief Minister, Maharashtra
2. P.A. to Hon'ble Finance Minister, Maharashtra
3. P.A. to Hon'ble Minister (PW), Maharashtra

4. P.A. to Chief Secretary, Maharashtra
5. P.A. to A.C.S. Finance, Mantralaya, Mumbai
6. P.A. to P.S. (PWD),/ Secretary (Roads)/ Secretary (Buildings)
7. Chief Engineer, P.W.Region, Mumbai/ Pune/ Nashik/ Nagpur/ Amravati/
Aurangabad/ Special Projects Mumbai
8. Chief Engineer, Electrical (PWD), Mumbai
9. All Deputy Secretaries/ Under Secretaries, PWD, Mantralaya. Mumbai
10. All Superintending Engineers/ Executive Engineers, PWD
11. All Desk Officers, PWD, Mantralaya. Mumbai
12. Reference File (Desk Bldg-2).